

# Value Nullification Determination Module (VNDM)

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**Architecture Ecosystem:** Structured Reality Standards™  
**Architecture Family:** VFM® — Value Flow Mechanisms Architecture  
**Parent Standard:** Value Nullification Standard (VNS)  
**Module:** VNDM — Value Nullification Determination Module  
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## Canonical Definition

Value Nullification Determination Module (VNDM) is the fourth Core Module of the Value Nullification Standard (VNS) within VFM® — Value Flow Mechanisms Architecture.

VNDM governs the formal determination of whether previously existing positive value has legitimately completed a Value Nullification transition and reached a governed zero-value condition within a defined Value Context, value dimension, scope, and temporal basis.

The Module receives the governed nullification conditions, threshold basis, and DeMonet™ transition established through the preceding VNS modules and determines whether the complete available basis supports recognition of the value as nullified.

Its foundational function is:

to prevent zero value from being assumed, declared, or operationally treated as established until the governed basis demonstrates that previously existing positive value has legitimately reached the applicable zero-value condition.

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## Architectural Position

VNDM is the fourth module within VNS.

It follows:

VDMM — DeMonet™ Mechanism Module

and precedes:

VNZM — Zero-Value State Transition Module.

The preceding modules establish:

the conditions under which nullification may occur

→ the threshold separating positive value from zero value

→ the DeMonet™ mechanism through which positive value crosses that boundary.

VNDM determines:

whether those governed elements collectively establish Value Nullification.

VNZM subsequently governs:

the transition of the determined nullified value into its appropriate zero-value state representation.

The distinction is fundamental:

DeMonet™ Transition ≠ Nullification Determination ≠ Zero-Value State.

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## Internal Module Flow

Governed Nullification Condition Basis → Governed Nullification Threshold Basis → DeMonet™ Transition Record → Prior Positive Value Confirmation → Affected Value Identification → Context & Dimension Confirmation → Threshold Satisfaction Review → Transition Completion Review → Contradictory Basis Review → Uncertainty Assessment → Nullification Determination → Determination State Assignment → Value Nullification Determination Record → VNZM — Zero-Value State Transition Module

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## Operational Space

VNDM governs the point between:

evidence of a potential or completed nullification transition

and

formal recognition that Value Nullification has occurred.

Its operational space includes:

prior positive value confirmation; nullified value identification; Value Context confirmation; value-dimension confirmation; nullification-condition review; threshold satisfaction; DeMonet™ transition review; transition completion; temporal determination; scope determination; partial versus complete dimensional nullification; contradictory basis; uncertainty; conditional determination; indeterminate determination; determination reversal or reassessment where materially justified; formal Value Nullification Determination.

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## Prior Positive Value Requirement

A valid Value Nullification Determination requires a governed basis showing that positive value existed before the alleged nullification.

Therefore:

Prior Positive Value = Required

because:

Value Never Emerged ≠ Value Nullified.

If no positive value can legitimately be established within the relevant governed context, VNDM must not manufacture a nullification event merely because the current value is zero.

The correct result may instead be:

Nullification Not Established.

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## Determination Object

Every VNDM determination must identify precisely what value has allegedly been nullified.

The Determination Object may relate to:

an entire Value Object; one value dimension; one capability; one function; one right; one economic use; one operational use; one market; one jurisdiction; one configuration; one temporal condition; one component of a compound Value Object.

This prevents a local value loss from becoming an unsupported declaration of total value loss.

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## Context-Specific Determination

Value Nullification is contextual.

An object may legitimately have:

Zero Operational Value

while retaining:

Positive Economic Value.

It may have:

Zero Value in Jurisdiction A

while retaining:

Positive Value in Jurisdiction B.

It may have:

Zero Current Use Value

while retaining:

Positive Option Value.

VNDM must therefore bind every determination to its relevant:

Value Object

Value Context

Value Dimension

Scope

Time

where materially applicable.

Therefore:

Zero in One Context  $\neq$  Zero Everywhere.

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## Threshold Satisfaction

VNDM must confirm that the applicable threshold established through VNTM has actually been satisfied.

A value approaching zero is not necessarily zero.

Therefore:

Near-Zero Value  $\neq$  Zero Value.

Likewise:

Severely Degraded Value  $\neq$  Nullified Value.

Where positive value remains above the applicable governed zero-value boundary, VNDM must not issue a positive Value Nullification Determination.

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## Transition Completion

A DeMonet™ process may be initiated without being complete.

VNDM therefore distinguishes:

DeMonet™ Initiated

from

DeMonet™ Completed.

Where the relevant transition remains incomplete and positive value still exists, Value Nullification has not yet been fully established.

This prevents anticipated future nullification from being recorded as present nullification.

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## Nullification Determination Basis

A positive determination should establish, where materially relevant:

What positive value existed

→ within what Value Context

→ in which value dimension

→ under what nullification conditions

→ against what threshold

→ through what DeMonet™ transition

→ at what point the zero-value condition was reached

→ what scope of value was affected

→ what uncertainty remains.

The determination must remain reconstructable from its governed basis.

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## Positive Determination

A Positive Value Nullification Determination establishes that the relevant previously existing positive value has reached the applicable zero-value condition within the defined governed scope.

Canonical result:

Previously Existing Positive Value

→ Applicable Nullification Conditions

→ Applicable Nullification Threshold Reached

→ DeMonet™ Completed

→ Value Nullification Determined.

This determination does not yet establish Value Extinction.

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## Negative Determination

VNDM may determine that Value Nullification has not occurred.

This may result where:

positive value remains; the threshold has not been reached; DeMonet™ has not completed; the alleged value never existed; the wrong value dimension was assessed; the wrong Value Context was applied; available evidence contradicts nullification; the basis is insufficient; the alleged zero-value condition is merely a measurement or classification error.

A negative determination is itself a governed outcome.

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## Conditional Determination

In some cases, nullification can legitimately be established only under specified conditions.

For example:

Operational Value Nullified within Configuration C-4 while Dependency D remains unavailable.

This does not necessarily support:

Operational Value permanently nullified under all configurations.

Conditional determination allows VFM® to preserve legitimate zero-value recognition without overstating its scope.

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## Indeterminate Determination

Where the available governed basis cannot establish whether Value Nullification occurred, VNDM must permit:

Indeterminate.

This is critical.

Governance must not force a binary conclusion where the underlying basis does not support one.

Possible causes include:

incomplete historical value records; uncertain threshold crossing; conflicting evidence; unclear timing; unresolved context; uncertain DeMonet™ completion; insufficient dimensional separation.

Unknown ≠ Zero.

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## Partial Nullification Determination

A Value Object may contain multiple independently meaningful value components.

VNDM may therefore determine:

Partial Value Nullification

where a defined portion of value reaches zero while other positive value remains.

Example:

A patent portfolio contains ten commercially usable patents.

Two lose all enforceable commercial value in a defined jurisdiction.

VNDM may determine nullification for those governed value components without declaring the entire portfolio valueless.

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## Dimensional Nullification Determination

A single object may carry several value dimensions simultaneously.

For example:

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## Operational Value

Economic Value

Strategic Value

Knowledge Value

Salvage Value

Option Value

VNDM may determine:

Operational Value = Nullified

while:

Economic Value > 0

and:

Knowledge Value > 0.

This dimensional separation is essential for preventing false total-value conclusions.

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## Temporal Determination

VNDM should establish when Value Nullification occurred where the available basis permits.

The temporal state may be:

Exact

where a specific transition point is known.

Bounded

where nullification occurred within a defined interval.

Condition-Dependent

where zero value exists only during specified conditions.

Indeterminate

where the fact of nullification can be established but its exact timing cannot.

The determination should not create false temporal precision.

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## Temporary Zero Value

A positive Value Nullification Determination does not require that zero value be permanent.

An object may legitimately reach zero value and later recover.

Therefore:

Temporary Zero Value can still be genuine Zero Value.

For example:

A digital capability may become completely unavailable for six months.

During that governed period:

Functional Value = 0.

If restoration later occurs:

Zero Value

→ ReMonet™

→ Restored Value.

The later restoration does not retroactively invalidate the earlier nullification determination.

Nullification ≠ Extinction

VNDM must preserve one of the central VFM® boundaries:

Value Nullification ≠ Value Extinction.

A nullified value may still possess:

restoration potential.

The determination:

Current Value = 0

does not establish:

Recoverable Value No Longer Exists.

The latter belongs to:

VXSS — Value Extinction Standard.

Therefore:

Zero Value ≠ Value Extinction.

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## Nullification ≠ Object Destruction

A Value Object may physically continue to exist after its relevant value has been nullified.

Likewise, an object may be physically destroyed while some value remains through:

insurance rights; salvage; intellectual property; data; replacement rights; contractual claims; knowledge; residual materials.

Therefore:

Object Destruction  $\neq$  Automatic Value Nullification

and

Value Nullification  $\neq$  Object Destruction.

VFM® governs value, not merely physical existence.

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## **Nullification $\neq$ Accounting Write-Off**

An accounting system may write an asset down to zero.

That accounting action may be relevant evidence.

It does not automatically constitute a VFM® Value Nullification Determination.

Likewise, VFM® may determine that a relevant value dimension has reached zero while accounting systems retain a non-zero carrying amount.

Therefore:

Accounting State  $\neq$  Governed Value State.

External valuation, accounting, tax, regulatory, or financial systems may provide inputs.

VNDM governs the VFM® nullification determination.

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## **Nullification $\neq$ Market Price Zero**

Market price may contribute to the determination of some economic value dimensions.

But:

Market Price = 0

does not automatically mean:

All Value = 0.

An object may retain:

operational value; strategic value; option value; knowledge value; recovery value; salvage value; internal utility.

VNDM must preserve the distinction between the relevant value dimension and the total Value Object.

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## **Contradictory Basis Review**

Before issuing a positive determination, VNDM should consider material information contradicting nullification.

Contradictory information may show:

remaining positive use; continuing demand; residual economic value; alternative operational use; active rights; restoration already underway; positive value in another governed dimension; incorrect threshold application; incomplete DeMonet™ transition.

Contradictory evidence must not be removed merely because it complicates the determination.

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## Uncertainty Preservation

A Value Nullification Determination should preserve material uncertainty affecting its meaning.

Relevant uncertainty may concern:

prior value; measurement; threshold; timing; scope; context; dimensional separation;

transition completion; evidence reliability; future recoverability.

Uncertainty does not necessarily prevent a determination.

It determines how strongly and broadly that determination may legitimately be represented.

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## Determination States

VNDM may assign a governed Value Nullification Determination State.

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### 1. Not Established

The governed basis does not support Value Nullification.

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### 2. Conditionally Established

Value Nullification is established only within explicitly defined conditions.

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### 3. Established

The governed basis supports a positive Value Nullification Determination within the defined scope.

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### 4. Partially Established

Nullification is established for only a defined component, dimension, context, or portion of the Value Object.

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### 5. Indeterminate

The available basis cannot legitimately establish whether nullification occurred.

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### 6. Under Reassessment

A previous determination is undergoing governed reconsideration following material new information or changed conditions.

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### 7. Superseded

A later governed determination has replaced the earlier determination.

These states prevent a nullification conclusion from being represented more strongly than its basis permits.

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## Determination Reassessment

A Value Nullification Determination may require reassessment where materially relevant new information appears.

Possible triggers include:

newly discovered positive value; corrected historical information; threshold error; newly available evidence; changed Value Context; incorrect dimensional classification;

revised transition record; evidence of earlier restoration; material data correction.

Reassessment does not mean that governance is unstable.

It means that determinations remain accountable to the governed basis on which they depend.

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## Boundary with VNCM

VNCM governs:

the conditions under which Value Nullification becomes applicable.

VNDM governs:

whether Value Nullification has actually been established.

Therefore:

Nullification Condition  $\neq$  Nullification Determination.

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## Boundary with VNTM

VNTM governs:

the threshold separating positive value from the zero-value condition.

VNDM governs:

whether the applicable threshold has been satisfied as part of the complete nullification basis.

Therefore:

Threshold  $\neq$  Determination.

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## Boundary with VDMM

VDMM governs:

DeMonet™ as the transition mechanism from positive value into zero value.

VNDM governs:

formal determination that the relevant nullification transition has legitimately occurred.

Therefore:

Transition Mechanism  $\neq$  Determination.

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## Boundary with VNZM

VNDM establishes:

that Value Nullification has occurred.

VNZM governs:

the resulting transition into the appropriate governed zero-value state.

Therefore:

Nullification Determination  $\neq$  Zero-Value State Transition.

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## Boundary with VSS

VSS governs:

the current governed Value State.

VNDM establishes a specific lifecycle determination that may require the Value State to be updated.

Therefore:

Determination  $\rightarrow$  State Consequence

but:

Determination  $\neq$  State.

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## Boundary with VDGS

VDGS governs declining value while positive value remains.

VNDM must not classify degradation as nullification until the applicable zero-value threshold has actually been reached.

Therefore:

Degraded Value  $> 0 \neq$  Nullified Value.

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## Boundary with VRSS

VRSS governs restoration of impaired, dormant, lost, or zero value.

A later ReMonet™ transition may restore value after a valid VNDM nullification determination.

Therefore:

Later Restoration  $\neq$  Earlier Determination Was Invalid.

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## Boundary with VXSS

VXSS governs the terminal condition where the relevant value no longer exists as recoverable value within the governed lifecycle.

VNDM governs only whether positive value has reached zero.

Therefore:

Nullification Determination  $\neq$  Extinction Determination.

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## Boundary with ORA™

ORA™ may establish the Operational Reality surrounding an event that affected value.

VNDM determines the resulting value condition within VFM®.

Therefore:

## Boundary with VALIDOS®

VALIDOS® may validate claims, evidence, methods, or determinations used in establishing nullification.

VNDM owns the methodological determination of Value Nullification within VFM®.

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## Boundary with INTEGROS®

INTEGROS® may govern integrity properties of the information and evidence supporting the determination.

VNDM governs what that governed basis means for Value Nullification.

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## Boundary with ADIT®

ADIT® may audit whether the determination basis, evidence, transition history, and records are observable and reconstructable.

VNDM owns the Value Nullification Determination itself.

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## Minimum Implementation Framework

### 1. Prior Value Confirmation

Confirm that positive value previously existed within the relevant governed context.

### 2. Determination Object Identification

Identify the exact value, dimension, component, capability, right, or context being assessed.

### 3. Condition Review

Confirm the applicable Value Nullification Conditions.

### 4. Threshold Review

Confirm the applicable Value Nullification Threshold and whether it has been satisfied.

### 5. DeMonet™ Review

Confirm whether the governed DeMonet™ transition has been completed.

### 6. Scope & Context Review

Determine the exact scope, dimension, context, and temporal basis of the alleged nullification.

### 7. Contradictory Basis Review

Identify material information inconsistent with the proposed determination.

### 8. Uncertainty Assessment

Preserve material uncertainty affecting the determination.

### 9. Determination State Assignment

Assign the appropriate Value Nullification Determination State.

### 10. Determination Record

Create a traceable record of the determination and its governed basis.

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## Governance Outputs

VNDM may produce:

Value Nullification Determination Value Nullification Determination Record Prior Positive Value Confirmation Nullified Value Identification Record Value Dimension Determination Value Context Determination Nullification Scope Record Threshold Satisfaction Record DeMonet™ Completion Record Nullification Temporal Record Contradictory Basis Record Nullification Uncertainty Record Value Nullification Determination State Governed Nullification Determination Object

These outputs provide the governed basis for:

VNZM — Zero-Value State Transition Module.

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## Use Case 1 — Industrial Technology Loses One

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### Value Dimension but Retains Others

A manufacturing company operates a specialized production machine.

A new production architecture makes the machine technically incompatible with the company's manufacturing environment.

The machine can no longer perform any operational function within that environment.

VNDM receives the preceding governed basis establishing:

prior positive operational value

→ applicable nullification conditions

→ operational zero-value threshold reached

→ DeMonet™ completed.

The Module determines:

Operational Value Nullification = Established.

However, the machine remains physically intact and retains:

resale value

component value

salvage value

and potentially:

restoration value.

VNDM therefore does not determine:

Total Value = 0.

It determines only:

Operational Value within the defined manufacturing context = Nullified.

This prevents one legitimate zero-value determination from incorrectly eliminating every other value dimension attached to the same object.

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## Use Case 2 — Digital License Reaches Zero

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### Current Value but Retains Restoration Potential

An enterprise holds a digital license that historically provided substantial operational value.

The external provider suspends the enterprise's access after a contractual dispute.

The licensed capability becomes completely unusable.

The preceding VNS modules establish:

Positive Functional Value

→ Nullification Conditions

→ Applicable Threshold Reached

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#### → DeMonet™

→ Zero Functional Value.

VNDM determines:

Functional Value Nullification = Established

for the period in which access is unavailable.

However, contractual negotiations remain active and access may later be restored.

VNDM therefore does not classify the value as extinct.

The governed lifecycle may subsequently become:

Positive Value

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#### → DeMonet™

→ Value Nullification Determination

→ Zero-Value State

→ ReMonet™

→ Restored Value.

The case demonstrates the architectural necessity of separating:

Value Nullification

from

Value Extinction.

A value can legitimately be zero now without being irrecoverably gone.

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### Enterprise Application

VNDM provides organizations with a formal governance gate before value is recognized as nullified.

It can be applied to:

physical assets; technologies; digital assets; licenses; contractual rights; intellectual property; infrastructure; organizational capabilities; products; services; data assets; AI systems; autonomous systems; operational capabilities; strategic assets.

Its principal enterprise function is to prevent organizations from collapsing several materially different conditions into the single statement:

“This has no value.”

VNDM instead requires the organization to establish:

What value?

Within what context?

In which dimension?

Against what threshold?

Through what transition?

At what time?

With what evidence?

With what uncertainty?

Only then can Value Nullification be formally determined.

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## Foundational Principles

Value Nullification requires previously existing positive value.

Value that never emerged cannot be determined as nullified.

Near-zero value is not zero value.

Severely degraded value is not automatically nullified value.

A DeMonet™ transition must not be confused with the determination that nullification has occurred.

Nullification may be contextual, dimensional, partial, temporary, or conditional.

Zero in one value dimension does not establish zero in every value dimension.

Zero in one Value Context does not establish zero everywhere.

Accounting write-off does not automatically establish Value Nullification.

Market price zero does not automatically establish total value zero.

Object destruction and Value Nullification are not methodologically equivalent.

Unknown value is not zero value.

A valid nullification determination may later be followed by legitimate restoration.

Value Nullification ≠ Value Extinction.

Zero Value ≠ Value Extinction.

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## Canonical Closing Statement

Value Nullification Determination Module establishes the formal determination layer through which VFM® decides whether previously existing positive value has legitimately completed its nullification transition and reached the

applicable zero-value condition within a defined Value Object, Value Context, value dimension, scope, and temporal basis. By requiring confirmation of prior positive value, applicable conditions, threshold satisfaction, DeMonet™ completion, contextual and dimensional boundaries, contradictory information, uncertainty, and determination state, VNDM prevents degraded, unknown, narrowly impaired, temporarily unavailable, or merely written-off value from being incorrectly represented as universally nullified. The Module creates the governed determination required before the resulting zero-value condition proceeds into formal state transition, while preserving the fundamental distinction between zero value and terminal loss of recoverability. A Value Nullification Determination establishes that relevant positive value has reached zero; it does not establish that value can never return.

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## Governed Links

→ Value Nullification Standard (VNS)

→ VFM® Architecture Map

→ Previous: DeMonet® Mechanism Module (VDMM)

→ Next: Zero-Value State Transition Module (VNZM)

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